

FEDERAL MARITIME COMMISSION

ADEBISI A. ADENARIWO

Claimant,

v.

BDP INTERNATIONAL, ZIM
INTEGRATED SHIPPING, LTD. AND ITS
AGENT (LANSAL) ET AL.

Respondents.

Informal Docket
No. 1921(I)

Served: February 14, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE, Mario CORDERO, William P. DOYLE, and Daniel B. MAFFEI *Commissioners*. *Acting Chairman* KHOURI filed a concurring opinion, in which *Commissioner* DYE joins.

Final Order on Remand

I. INTRODUCTION

This matter is before the Federal Maritime Commission (FMC or Commission) on remand from the United States Court of Appeals for the District of Columbia Circuit (D.C. Circuit) to

determine Mr. Adenariwo's (Claimant's) reparations award in light of the court's determination that the principle of mitigation, upon which the Commission initially relied in determining Claimant's reparations award, is not applicable in this case.

For the reasons discussed below, the Commission awards Claimant reparations in the amount of \$50,000 plus interest.

II. BACKGROUND

A. Factual Background

Claimant is a principal of MacBride, a corporation in the business of producing concrete masonry products in Lagos, Nigeria. Settlement Officer (SO) Decision and Order at 1 (SO April 18, 2012) (SO 2012 Decision and Order). In 2008, MacBride purchased concrete products equipment from Nethamer Limited, located in Michigan, to be shipped to Nigeria. *Id.* Nethamer was the exporter of record on the shipment, and BDP, a licensed freight forwarder, arranged the transportation for the equipment in two containers, Container 1 (container number ZCSU258371- 4) and Container 2 (container number ZCSU889833-9). *Id.* at 2-3. The Shipping Act defines an "ocean freight forwarder" as a person that, "in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers" and "processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(18). An ocean freight forwarder acts as an agent for the shipper, and is not a carrier itself. The two containers were transported by Zim Integrated Shipping, LTD. (Zim), a vessel operating common carrier. *Adenariwo v. BDP Int'l, Zim Integrated Shipping, Ltd. and its agent (Lansal) et al.*, 33 S.R.R. 503, 504 (SO 2013) (*Adenariwo I*). Container 1 arrived in Nigeria on April 17, 2008, but, because of issues with the bill of lading, was not released to Claimant and demurrage charges started accruing. SO 2012

Decision and Order at 5-6. Container 2 arrived on May 17, 2008, but LANSAL, Zim's agent, refused to release the container until the outstanding demurrage charges on Container 1 had been paid. *Adenariwo I*, 33 S.R.R. at 505, 507. Consequently, demurrage charges began accruing on Container 2. *Id.* at 505. Ultimately, neither container was released, the outstanding demurrage charges remained unpaid, and the contents of both containers were eventually auctioned by Nigerian custom authorities. SO 2012 Decision and Order at 3; *Adenariwo I*, 33 S.R.R. at 505. LANSAL staff informed Mr. Adenariwo of the disposal of the containers on March 31, 2009. *Adenariwo I*, 33 S.R.R. at 505.

B. Procedural History

On May 3, 2011, Claimant filed two separate claims with the Commission against BDP International (BDP), Zim, and LANSAL, asserting each violated section 10(d)(1) of the Shipping Act of 1984, 46 U.S.C. § 41102(c), by failing to observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property. Initial Claim at 1-2; Initial Claim Attach. at 3-4. Both complaints were identical in form and content and both asserted monetary damages from the loss of containers (\$240,606.50 for each container), but Claimant chose to proceed with informal adjudication in order to expedite the matter, and limited the damages sought in each claim to the maximum permitted under 46 C.F.R. § 502.301(b), \$50,000, for the replacement of his lost equipment. Initial Claim at 2; Initial Claim Attach. at 2. In a memorandum and order issued on May 26, 2011, the Settlement Officer deemed that the first claim, Informal Docket No. 1920(I), sought reparations associated with the handling of Container 1, and that the second claim, Informal Docket No. 1921(I), sought reparations associated with the handling of Container 2, for a total claim of \$100,000 in reparations (\$50,000 in each docket). SO Memo and Order Consolidating Proceedings at 2 (May 26, 2011) (SO 2011 Order Consolidating Proceedings).

The Settlement Officer also initially procedurally consolidated the two dockets, stating that they involved substantially the same issues and parties. *Id.* at 2-4. On April 18, 2012, the Settlement Officer issued a decision and order addressing both claims. The order dismissed Mr. Adenariwo's claims regarding Container 1 in Informal Docket No. 1920(I) as time barred because the complaint was not filed within three years of the claim accruing. SO 2012 Decision and Order at 3-7, 11. With respect to the claims regarding Container 2 in Informal Docket No. 1921(I), the Settlement Officer ordered Claimant to demonstrate a valid assignment of the claims from MacBride, who was listed as the consignee of the shipments and owner of the cargo. *Id.* at 8-11. This decision severed the two claims, which proceeded independently from this point forward.¹

Claimant filed an assignment of claim from MacBride to himself on May 8, 2012. Assignment of Claim at 1, May 8, 2012. On March 7, 2013, the Settlement Officer determined that Zim violated 46 U.S.C. § 41102(c) with respect to its handling of Container 2 and awarded Claimant reparations in the amount of \$18,308.94, plus

¹ The Commission's 30-day review period of the Settlement Officer's dismissal of the claim in Informal Docket No. 1920(I) commenced with the issuance of the April 18, 2012, Decision and Order and was set to expire May 18, 2012. See 46 C.F.R. § 502.304(g); Email from Office of the Secretary to FMC Commissioners, their Counsel, and General Counsel (April 24, 2012, 7:19AM (EST)). Mr. Adenariwo, however, filed a petition for reconsideration of the dismissal of the claim on May 3, 2012, staying the 30-day Commission review period. See 46 C.F.R. § 502.304(h); Email from Office of the Secretary to FMC Commissioners, their Counsel, and General Counsel (May 3, 2012, 4:25PM (EST)). The Settlement Officer denied reconsideration in a decision served on March 7, 2013, (*Adenariwo v. BDP Int'l, Zim Integrated Shipping, Ltd. and its agent (Lansal) et al.*, 33 S.R.R. 499, 499-502 (FMC 2013) (*Adenariwo 1920(I)*)) and, on March 22, 2013, the Commission issued a notice declining to review the Settlement Officer's decision, rendering that decision administratively final. Comm'n Notice Not to Review (March 22, 2013).

interest, in reparations based on the finding that Claimant could have mitigated his damages by paying the charges invoiced by Zim and obtaining the release of his container, thereby avoiding the selloff of its contents. *Adenariwo I*, 33 S.R.R. at 506-07. The Commission announced on April 10, 2013, that it had determined to review the Settlement Officer's decision in Informal Docket No. 1921(I) *sua sponte* pursuant to 46 C.F.R. § 502.304(g). Comm'n Determination to Review at 1 (Apr. 10, 2013). On February 20, 2014, the Commission issued an order affirming the SO's determination that Zim violated 46 U.S.C. § 41102(c) and the reparations award of \$18,308.94 plus interest. *Adenariwo v. BDP Int'l, Zim Integrated Shipping, Ltd. and its agent (Lansal) et al.*, 33 S.R.R. 223 (FMC 2014) (*Adenariwo II*).

On March 21, 2014, Claimant filed a petition for review of the Commission's decision with the D.C. Circuit. On December 15, 2015, the D.C. Circuit ordered that the Commission's decision to require mitigation of damages be vacated and the case remanded for further proceedings, specifically "the entry of an award by the Commission in favor of petitioner in the full amount of his unmitigated damages." *Adenariwo v. Fed. Mar. Comm'n*, 808 F.3d 74, 81 (D.C. Cir. 2015).²

On April 28, 2016, the Commission issued an Order to File Supplemental Briefs. On June 14, 2016, Zim filed a supplemental brief. Claimant made no submission. The Commission issued an additional Order to File Supplemental Briefs on July 27, 2016.

On August 1, 2016, the Commission received correspondence from Claimant that included a Motion for Extension of Time and a

² Claimant also petitioned for review of the dismissal of his claim in Informal Docket No. 1920(I) related to Container 1. The D.C. Circuit denied this portion of the petition, finding that Claimant had failed to file his petition within the time period prescribed by 28 U.S.C. § 2344. 808 F.3d at 79.

series of general inquiries (Motion). On August 4, 2016, the Commission issued an Order Granting Extension of Time ordering a supplemental brief from the Claimant no later than August 31, 2016, and providing Zim the option of filing a response, if needed.

On August 17, 2016, a Notice of Appearance and timely filed Brief from Claimant were filed. No supplemental response was filed by Zim.

III. DISCUSSION

Claimant argues that the SO “determined that the damages claimed by the Claimant included the cost of the equipment, lost profits, repeat transaction costs, and a capital charge.” Claimant’s Br. at 2. In particular, Claimant cites the “Statement of Loss Macbride Nigeria Ltd” (Loss Statement) he submitted, and argues that no evidence was submitted to contradict or contest Claimant’s claimed damages. *Id.* Claimant asserts that because his damages exceed the maximum amount permitted under the Commission’s regulations, the Commission must award the maximum amount permissible, \$50,000. *Id.* at 3. Claimant further argues that he is entitled to interest under 46 C.F.R. § 502.253. *Id.* at 4.

In its brief, Zim asserts that the SO never made a finding with respect to the amount of damages suffered by Claimant, and the evidence of alleged loss is insufficiently supported and based primarily on Claimant’s assertions. Zim’s Br. at 2. Accordingly, Zim argues that it is unclear that there is a sufficient factual basis for the Commission to award any reparations. *Id.* Finally, Zim asserts that because this is an informal small claim, the reparations award may not exceed \$50,000. *Id.* at 2–3

Pursuant to 46 U.S.C. § 41305(b), the complainant is entitled to reparations for “actual injury caused by a violation of this part,” and “‘actual injury’ includes the loss of interest . . . compounded from

the date of injury.” § 41305(a)–(b). Claimant has the burden of proving entitlement to reparations. *See James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). In particular, Claimant “must prove with ‘competent evidence’ that [he] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 187 (FMC 2001) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)). Although the Commission will rely on reasonable estimations “when precise evidence measuring financial injury is unavailable because of the nature of the violation,” “alleged damages based on unreliable or speculative evidence are not allowed.” *Rose Int’l, Inc.*, 29 S.R.R. at 197 (quoting *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991)) (internal quotation marks omitted).

Complaint proceedings before the Commission are commenced in formal proceedings, or, with the consent of the parties, informal proceedings if the claim is in the amount of \$50,000 or less. 46 C.F.R. §§ 502.61(a), 502.301(b); *see Adenariwo*, 808 F.3d at 76. As discussed above, Claimant argues that he is entitled to the maximum permissible amount of \$50,000. Claimant’s Br.at 3.

The Loss Statement included with Claimant’s Initial Claim Form reflects claimed losses associated with the loss of Container 2, the subject matter of this proceeding, and Container 1, the subject matter of Docket No. 1920(I), which, as discussed above, was dismissed by the SO in a decision that became administratively final on March 22, 2013. As a result, Claimant is only entitled to reparations for damages resulting from the loss of Container 2. *See Adenariwo*, 808 F.3d at 79–80.

The Loss Statement lists the equipment (and associated cost) in Container 2 as a “Bescopac Hydraulic Unit” (\$37,000) and

“Paints” (\$3,000). Initial Claim Attach. at 3. In addition to the equipment in Container 1, the Loss Statement also lists additional damages, not broken out by container, and we infer that these amounts reflect combined claimed damages from the loss of both containers. These include “Freight/Insurance” (\$18,000), “Loss of Profit” (\$300,000), “Administrative Expenses” (\$10,462), and “Repeat Transaction Cost” (\$12,731). *Id.* Finally, the Loss Statement lists \$60,020 as a “Capital Charge at 9.5%/Annum.” *Id.* The Loss Statement also includes additional information for the various categories of claimed losses. *Id.* at 4–5.

As noted above, the SO’s Decision of March 7, 2013, which the Commission affirmed on February 20, 2014, discussed the award of reparations and amount of damages claimed by Claimant. *Adenariwo I*, 33 S.R.R. at 509-511. In particular, the SO examined damages claimed in the Loss Statement and evidence in the record showing payments made by Claimant that contributed to his loss. *Id.* This evidence included documentation showing a payment of N1,000,000 to Metro TSA Cargo in Nigeria on March 8, 2008, for various clearance services associated with Container 2. *Id.* at 511; Claimant’s Supplemental Ex. 2, filed Sep. 20, 2011. The SO did not make a determination as to whether the alleged values proffered by Claimant were valid, instead finding that the claimed loss supported a finding that Claimant should have taken reasonable measures to mitigate those losses. *Id.* The SO therefore awarded Claimant \$13,192.94, the amount Claimant could have been paid to secure release of Container 2. The SO also awarded Claimant \$5,116.00 in reparations as a refund of the ocean freight and incidental charges Claimant paid under the transportation contract, which the SO determined to be rescinded because Claimant was wrongfully unable to secure delivery of Container 2. *See id.*

As an initial matter, the Loss Statement, which represents a summary of damages prepared by the Claimant and submitted with his claim, is not sufficient, without additional supporting evidence,

to establish the damages claimed therein. *See Cal. Shipping Line, Inc.*, 25 S.R.R. at 1230.

Claimant's Loss Statements identifies the value of the equipment in Container 2 as \$37,000 for the Bescopac Hydraulic Unit and \$3,000 for Paints. These amounts are supported by an invoice attached to the Loss Statement (Invoice Number 270208BREI), which lists "Bescopac Hydraulic Unit with Electric panel and Vibrator Motors" at \$37,000 and "Four (5) Gallons Yellow Paint[,] One (5) Gallon Blue Paint, Two (5) Gallons Primer Paint" at \$3,000.³ Initial Complaint at 5, 8. This evidence is sufficient to establish Claimant's entitlement to \$40,000, representing the cost of the equipment in Container 2.

In addition, Claimant is entitled to \$5,116.00, representing the prepaid freight under the rescinded transportation contract and previously included in the SO's reparations award. This amount is reflected in bill of lading for Container 2. BDP Ex. 7, filed June 22, 2011; Zim Ex. 9, filed July 22, 2011.

Claimant has also established that he spent \$8,474.58 (N1,000,000)⁴ on various clearing services related to Container 2.

³ Although the invoice is dated June 12, 2009, the numerical portion of the invoice number "270208" corresponds with the date Nethamer issued the packing list for Container 2, February 27, 2008, and the items listed are consistent with the cargo described in the packing list, which includes: two panels; two crate motors; a hydraulic unit; a front delivery conveyer; two loaders/unloader towers; 20 gallons of yellow paint in four five-gallon drums; five gallons of blue paint in one five-gallon drum, and 10 gallons of primer in two five-gallon drums. Claimant's Supplemental Ex. 5, filed Sep. 20, 2011. Accordingly, we find that the invoice refers to the equipment in Container 2.

⁴ The exchange rate included by Claimant (N118 = \$1.00) for the relevant time period was not contested by Respondents. We take official notice that Claimant's exchange rate is consistent with the Central Bank of Nigeria posted exchange rates found on its website: <https://www.cbn.gov.ng/rates/exrate.asp?year=2008>.

Claimant's Additional Information, filed Sep. 20, 2011; Claimant's Supp. Ex. 2, filed Sep. 20, 2011. Because a reparations award in an informal small claim is limited to no more than \$50,000, and Claimant has established entitlement to \$45,116 in reparations based on the cost of his lost equipment and prepaid freight, Claimant is entitled to \$4,884 in reparations for the clearing services payment he made on Container 2, for a total reparations award of \$50,000⁵ plus interest.⁶ Because Claimant has established entitlement to the \$50,000, the maximum reparations award available in an informal small claim, we need not determine whether he is entitled to reparations for his other claimed damages.

IV. CONCLUSION

For the reasons discussed above, we award Claimant reparations in the amount of \$50,000 plus interest. To the extent that Zim has already compensated Claimant in accordance with the Commission's February 20, 2014 order, Zim is liable only for the difference between the current award and the amount previously paid to Claimant.

Claimant's Additional Information, filed Sep. 20, 2011.

⁵ \$45,116 + \$4,844 = \$50,000.

⁶ In accordance with 46 U.S.C. § 41305(a) and 46 C.F.R. § 502.253, interest is calculated from the date of injury. The SO previously determined the date of injury to be May 17, 2008, the date Container 2 arrived in Nigeria, and the Commission agrees with this determination. *See Adenariwo I*, 33 S.R.R. at 505, 511 n.28.

THEREFORE, IT IS ORDERED, that by March 1, 2017, Zim Integrated Shipping, LTD pay Claimant reparations in the amount of \$50,000 and interest in the amount \$875.52, totaling \$50,875.52, less any amount previously paid by Zim Integrated Shipping, LTD to Claimant for this claim.

By the Commission.

Rachel E. Dickon
Assistant Secretary

Acting Chairman KHOURI, with whom Commissioner DYE joins, concurring:

While I continue to disagree with the majority's interpretation of § 41102(c) of the 1984 Act for the reasons set forth in multiple dissents⁷, I am bound by the United States Court of Appeals for the District of Columbia Circuit's determination that the principle of mitigation upon which the Commission initially relied in determining Claimant's reparation award is not applicable in this case. Therefore, as to the narrow issue of determining reparations in the amount of

⁷ *Yakov Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013) (“*Kobel* Remand Order”); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861 (FMC 2013) (“*Bimsha*”); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65 (FMC 2013); *Temple v. Anderson*, Docket No. 1919(I), 33 S.R.R. 708 (FMC October 22, 2013) (Order vacating and remanding decision of Settlement Officer); *Petra Pet, Inc., v. Panda Logistics Ltd.*, 33 S.R.R. 4 (FMC 2013); *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13 (FMC 2013); *Century Metal Recycling Pvt. Ltd., v. Dacon Logistics LLC*, 33 S.R.R. 17 (FMC 2013); *Sulaiman Bah v. Amadu K. Jah*, Docket No. 1915(I), 33 S.R.R. 726 (FMC 2013); *Shekinah International Mission, Inc. v. Sefco Export Management Company, Inc., World Cargo Transport, Inc., Eagle Systems, Inc., and Zim Integrated Shipping Ltd.*, Docket No. 1914(I), 33 S.R.R. 733 (FMC 2013); *Adebisi Adenariwo v. BPD International, Zim Integrated Shipping, Ltd. And its Agent (Lansal) et al.*, Docket No. 1921(I), 33 S.R.R. 223 (FMC 2014); *Michael Anad Styer v. Online Shipping Advisers*, Docket No. 1863(I), 33 S.R.R. 536 (FMC 2014); *Geo Machinery FZE v. Watercraft Mix, Inc.*, Docket No. 1935(I), 33 S.R.R. 329 (FMC 2014); *Medisend International, Inc. v. TJD International, Inc.*, Docket No. 1936(I), 33 S.R.R. 492 (FMC 2014); *Bai Koroma et al. v. Global Freightways (USA Ltd. Et al.)*, 33 S.R.R. 624 (FMC 2013); *Yakov Kobel v. Hapag-Lloyd A.G.*, No. 10-06, 2015 FMC, Lexis 699, (“*Kobel* Order Affirming Remand Initial Decision”), *Auto 1 Pay v. Heavy Haulers*, __ S.R.R. __ (FMC 2015); *Tarazona v. MH Int'l Freight Services*, 33 S.R.R. 1119 (FMC 2015); *Toussaint v. K.O.V. Shipping Express Cargo*, 33 S.R.R. 1163, (FMC 2015); *Orolugagbe V. A.T.I., U.S.A., Inc.*, 33 S.R.R. 1367, (FMC 2015); *Abusetta D/B/A/ Sammy's Auto Sales v. Jax Auto Shipping, Inc. and Marine Transport Logistics, Inc.*, __ S.R.R. __ (FMC 2015), and *Salomon and Jasmin Gruenberg-Reisner v. Overseas Moving Specialists d/b/a/ International Sea & Air Shipping*, __ S.R.R. __ (FMC 2016).

\$50,000 plus interest, I approve the recommendation in this case.